TABLE 3: OUTLINE OF PROPOSED SEMI-ANNUAL REPORT

	Description	*Proposed Item of Form N-1A*	*Current Item of Form N-1A Containing Similar Requirements*
Cover Page or Beginning of Report	Fund/Class Name(s)	Item 27A(b)	--
	Ticker Symbol(s)	Item 27A(b)	--
	Principal U.S. Market(s) for ETFs	Item 27A(b)	--
	Statement Identifying as "Semi-Annual Shareholder Report"	Item 27A(b)	--
	Legend	Item 27A(b)	--
Content	Expense Example	Item 27A(c)	Item 27(d)(1)
	Management's Discussion of Fund Performance (optional)	Item 27A(d)	Item 27(b)(7)
	Fund Statistics	Item 27A(e)	--
	Graphical Representation of Holdings	Item 27A(f)	Item 27(d)(2)
	Material Fund Changes (optional)	Item 27A(g)	--
	Changes in and Disagreements with Accountants	Item 27A(h)	Item 27(b)(4)
	Statement Regarding Liquidity Risk Management Program	Item 27A(i)	Item 27(d)(6)(ii)
	Availability of Additional Information	Item 27A(j)	Item 27(d)(3) through(5)

1. Scope and Contents of the Proposed Semi-Annual Report

As with the proposed annual report, we propose to limit the scope of funds' semi-annual reports in several respects to reduce the overall length and complexity of these reports.

First, we propose to require a fund registrant to prepare separate semi-annual reports for each series of the fund.[346] Second, we propose generally to limit the content a fund may include in its semi-annual report to the information that Item 27A of Form N-1A specifically permits or requires.[347] However, if a fund's particular circumstances may cause the required disclosures to be misleading, the fund may add additional information that is necessary to make the required disclosure items not misleading. Finally, the proposed amendments to Form N-1A would not permit a fund to incorporate by reference any information into its semi-annual report.[348] Collectively, these restrictions parallel our proposed scope and content limitations for annual reports.[349] As is the case today, the proposed semi-annual report would not be subject to page or word limits. As noted above, we believe a set limit could constrain appropriate disclosure or lead funds to omit material information. However, we believe that the proposed limits on the contents of shareholder reports should nonetheless limit their length in support of our goal of concise, readable disclosure.[350]

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346 *See* Instruction 4 to proposed Item 27A of Form N-1A.

347 *See* Instruction 3 to proposed Item 27A of Form N-1A.

348 *See* Instruction 5 to proposed Item 27A of Form N-1A.

349 *See supra* Section II.B.1.a and II.B.1.b; *see also* Instructions 3, 4, and 5 to proposed Item 27A of Form N-1A.

350 Because we estimate that the proposed annual report would be approximately 3 to 4 pages in length, we similarly estimate that the proposed semi-annual report (which would include fewer required disclosure items than the proposed annual report) would be approximately 3 to 4 pages in length or shorter. In the case of paper delivery, this may allow funds to deliver semi-annual reports using a trifold self-mailer (or a similarly concise mailing). *See supra* footnote 134 and accompanying text.

The cover page or beginning of the proposed semi-annual report would essentially contain the same content as the annual report (with the only difference being references to a "semi-annual report" instead of an "annual report").[351]

Semi-annual reports currently include an expense example.[352] The proposed semi-annual report would retain an expense example, which would be subject to the same content requirements as the expense example in the proposed annual report.[353]

We do not currently require MDFP in semi-annual reports. Under our proposal, semi-annual reports similarly would not require MDFP, but funds could include this disclosure on an optional basis.[354] We understand that it is currently common for funds to include MDFP in their semi-annual reports, and we believe that continuing to allow this disclosure would enable funds to identify factors that could help investors better contextualize other information disclosed in the semi-annual report. However, any such disclosure would have to comply with the proposed content requirements for MDFP in annual reports.[355]

Under our proposal, semi-annual reports, like annual reports, would have to include certain fund statistics, including the fund's: (1) net assets, (2) total number of portfolio holdings, and (3) portfolio turnover rate.[356] This new disclosure requirement for semi-annual

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351 *See* proposed Item 27A(b) of Form N-1A; *see also supra* Section II.B.2.a.

352 *See* Item 27(d)(1) of Form N-1A.

353 *See* proposed Item 27A(c) of Form N-1A; *see also supra* Section II.B.2.b. The expense example in the semi-annual report would cover a 6-month reporting period.

354 *See* proposed Item 27A(d) of Form N-1A.

355 *See supra* Section II.B.2.c.

356 *See* proposed Item 27A(e) of Form N-1A.

reports would parallel proposed required disclosures in annual reports.[357] As in annual reports, this proposed disclosure requirement is intended to provide succinct fund disclosures in a format that investors may be more likely to review than long narratives, and is designed to help contextualize other disclosures required in semi-annual reports.[358] In addition, a fund could disclose any additional statistics that it believes would help shareholders better understand the fund's activities and operation during its most recent fiscal half-year.[359]

Semi-annual reports currently include a graphical representation of holdings.[360] For the same reasons that we propose to retain the current requirements for the graphical representation of holdings in the annual report (with revisions designed to improve the presentation), we propose to retain the current requirements for the graphical representation of holdings in funds' semi-annual reports.[361] The graphical representation of holdings in the proposed semi-annual report would be subject to the same content requirements as in the proposed annual report.[362]

We do not currently require a discussion of material changes to the fund in semi-annual reports. Under our proposal, such disclosure would still not be required, but funds

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357 We note, however, that semi-annual reports currently must disclose net assets and portfolio turnover rate as part of the requirement to disclose condensed financial information. *See* Item 27(c)(2) of Form N-1A; *see also supra* footnotes 243 and 249 and Section II.B.2.d.

358 *See supra* text accompanying footnotes 243 through 250.

359 *See* proposed Item 27A(e) of Form N-1A; *see also supra* text accompanying and following footnote 251.

360 *See* Item 27(d)(2) of Form N-1A.

361 *See supra* footnotes 260-262 and accompanying text.

362 *See* proposed Item 27A(f) of Form N-1A; *see also supra* Section II.B.2.e.

could include this disclosure on an optional basis.[363] We believe that permitting, but not requiring, this disclosure is appropriate because we anticipate that it would be common under the proposed rules for fund shareholders to receive notices of material changes as they occur throughout the year (*i.e.*, the notices that proposed rule 498B would require, or as prospectus "stickers" for those funds that do not rely on proposed rule 498B).[364] Requiring a discussion of material changes in the semi-annual report could be duplicative in light of these other notices. However, we are permitting funds to include this disclosure in their semi-annual reports because we anticipate that there could be circumstances in which discussing material changes could help investors better contextualize other information in the semi-annual report. Any such disclosure would have to comply with the proposed content requirements for the discussion of material changes in annual reports.[365]

As discussed above, we are proposing to require funds to include, under certain conditions, a statement in their semi-annual or annual reports regarding their liquidity risk management program.[366] This statement would include a brief summary of: (1) the key factors or market events that materially affected the fund's liquidity risk during the reporting period, (2) the key features of the fund's liquidity risk management program, and (3) the effectiveness

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363 *See* proposed Item 27A(g) of Form N-1A.

364 *See infra* Section II.F.3.b (discussing the notices of material changes that the proposal would require, for funds relying on proposed rule 498B); *see also infra* footnote 870 and accompanying text (estimating that 90 percent of funds would rely on proposed rule 498B instead of sending annual prospectus updates to existing shareholders).

365 *See supra* Section II.B.2.f.

366 *See supra* Section II.B.2.g.

of the fund's liquidity risk management program over the past year.[367] Depending on the timing of the fund's board's review of the fund's liquidity risk management program, the fund would include the statement in either its annual or semi-annual report.[368] If the board were to review the liquidity risk management program more frequently than annually, a fund could choose to include the discussion of the program's operation and effectiveness over the past year in the fund's annual and/or semi-annual report, but this discussion would not be required to be included in both reports.[369]

Under current shareholder report requirements, funds must include statements regarding the availability of certain information not included in the semi-annual report, namely the fund's: (1) quarterly portfolio schedule; (2) proxy voting policies and procedures; and (3) proxy voting record.[370] Under our proposal, the semi-annual report would have to similarly include a brief, plain English statement that certain additional fund information is available on the fund's website, including, as applicable, the fund's prospectus, financial statements, quarterly portfolio schedule, and proxy voting record.[371] The statement could also reference other information on the fund's website that the fund reasonably believes

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367 *See* proposed Item 27A(i) of Form N-1A.

368 *See supra* footnote 307 and accompanying text.

369 *See* Instruction 3 to proposed Item 27A(i) of Form N-1A. Current Form N-1A includes the same instruction providing flexibility for a fund whose board reviews the liquidity risk management program more frequently than annually to include the discussion of the program in either the semi-annual report or the annual report, but not both. *See* Instruction to Item 27(d)(6)(ii) of Form N-1A.

370 *See* Items 27(d)(3) through (5) of Form N-1A.

371 *See* proposed Item 27A(j) of Form N-1A.

shareholders would view as important.[372] In addition, if the shareholder report appears on a fund's website or otherwise is provided electronically, the fund must provide a means of facilitating access to that additional information (such as a hyperlink).[373] Collectively, these requirements would be the same as the proposed requirements with regard to the availability of additional information in annual reports.[374]

We request comment generally on the proposed scope and content requirements for funds' semi-annual reports, and specifically on the following issues:

126. Is the proposed scope for semi-annual reports appropriate? To the extent the Commission changes the proposed scope of annual reports, should the Commission adopt those same changes for semi-annual reports? In contrast, are there any unique scope considerations for semi-annual reports, as opposed to annual reports?

127. Are the proposed content requirements for semi-annual reports appropriate? To the extent that the Commission adopts changes to the proposed content requirements for annual reports, should the Commission adopt those same changes for semi-annual reports? In contrast, are there any unique content considerations for semi-annual reports, as opposed to annual reports? For example, are there any amendments we should make to the proposed MDFP requirement to clarify disclosure obligations in the context of a semi-annual reporting period, as opposed to an annual reporting period? As another example, should we require the statement regarding the fund's liquidity risk management program in both the annual and the

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372 *Id.*

373 *See* Instruction 1 to proposed Item 27A(j) of Form N-1A.

374 *See id.*; *see also supra* Section II.B.2.g.

semi-annual reports, instead of providing the flexibility to include this disclosure in either report (depending on the timing of the board's review of the program)?

128. Is it appropriate to permit, but not require, funds to include MDFP and a discussion of material fund changes in their semi-annual reports? Why or why not? Would funds include this optional disclosure in their semi-annual reports, and if so, why? Should we permit any additional flexibility with regard to the content requirements of semi-annual reports and, if so, are there any corresponding changes that we should make to the proposed form amendments to implement such flexibility?

129. Should the Commission make any changes to the frequency of fund shareholder reports? For example, should the Commission require the transmittal of fund shareholder reports more or less frequently than on a semi-annual basis?[375] To what extent would changes in the frequency of shareholder reports impact investors and their investment decision-making?

2. Format and Presentation of Semi-Annual Report

Under our proposal, as discussed below, the semi-annual report would be generally subject to the same format and presentation requirements as the annual report.[376]

Information in semi-annual reports would be required to appear in the same order as the corresponding form items appear in the proposed amendments to Form N-1A.[377] Any

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375 *See infra* Section II.C.3.b (seeking comment on, among other things, an alternative approach in which the requirement to transmit a semi-annual report could be satisfied instead by updating certain information that appears on a fund website either semi-annually or on some more-frequent basis).

376 *See* Section II.B.3.

377 *See* Instruction 2 to proposed Item 27A(a) of Form N-1A. This proposed instruction would

information that a fund could choose to include in the semi-annual report would also be subject to this proposed ordering requirement (that is, it would have to be presented in the same order as the parallel mandatory disclosures in annual reports).[378] Like the parallel requirement for annual reports, this proposed ordering requirement for semi-annual reports is designed to ensure that information we believe is most salient to shareholders would appear first in the report. The proposed ordering requirement also is designed to promote consistency and comparison across funds and would place related report contents close together.

The other proposed instructions for annual reports' format and presentation discussed above also would apply to semi-annual reports. These include the proposed "plain English" instructions for the organization, wording, and design of the report.[379] They also include the proposed instructions encouraging funds to consider using, as appropriate, a question-and-answer format, charts, graphs, tables, bullet lists, and other graphics or text features as a way to help provide context for the information presented.[380]

We request comment generally on the proposed format and presentation requirements for funds' semi-annual reports, and specifically on the following issues:

130. Are the proposed format and presentation requirements for semi-annual reports appropriate? To the extent that the Commission adopts rules that include changes to these

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also include provisions that are applicable to a semi-annual report that appears on a website or is otherwise provided electronically. *See infra* Section II.C.3.

378 *Id.*

379 *See* Instruction 6 to proposed Item 27A(a) of Form N-1A; *see also supra* footnote 323 and accompanying paragraph.

380 *See* Instruction 8 to proposed Item 27A(a) of Form N-1A; *see also supra* footnote 324 and accompanying paragraph.

requirements for annual reports, should the Commission adopt those same changes for semi-annual reports? In contrast, are there any unique considerations with regard to the format and presentation requirements for semi-annual reports, as opposed to annual reports?

131. Under our proposal, semi-annual reports may optionally include certain disclosures that would be required to be included in annual reports.[381] Is it appropriate to require any such optional disclosures to be presented in the same order as the information would be presented in annual reports? To what extent could this cause confusion for investors reading semi-annual reports, given that some semi-annual reports might contain additional optional disclosures interspersed between required disclosures? In contrast, to what extent would it be confusing to require these optional disclosures to be presented in a different order (*e.g.*, following all required disclosures)?

3. Electronic Semi-Annual Reports

a. Proposed Instructions and Requirements

Our proposed instructions for electronic annual reports, including those that promote the use of interactive, user-friendly electronic design features, would also apply to semi-annual reports.[382] Among other things, these proposed instructions would (1) provide ordering and presentation requirements for semi-annual reports that appear on a website or are otherwise provided electronically, (2) provide additional flexibility for funds to add additional

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381 *See supra* footnotes 354 and 355 and accompanying text (discussing the proposal to permit, but not require, MDFP to be included in semi-annual reports) and *supra* footnotes 363 through 365 (discussing the proposal to permit, but not require, a discussion of material fund changes to be included in semi-annual reports).

382 *See supra* Section II.B.4.